

29 Jul 2026 15:08:48 ET | 14 pages

Hongfa Technology (600885.SS)

2Q26 Results Beat, Lifting TP to Rmb45.0 on Strong Top Line and Further GPM Expansion

CITI'S TAKE

Global leading relay maker Hongfa reported better-than-expected [2Q26 results](#). While 2Q26 net profit of Rmb672mn (+21% YoY) was only 2% ahead of Bloomberg consensus, revenue of Rmb5.9bn (+36% YoY) and GPM of 33.2% (-1.5pp) beat consensus by 4% and 2.3pp, respectively, driven by strong demand and ASP hike. Mgmt. commented on the results briefing that **1)** strong demand is across the board due to not only industry demand growth but also Hongfa's market share gain and **2)** more importantly, GPM could recover to 3Q25 level (~35%) given ongoing ASP hikes and silver price decline. We therefore raise our 2026/27E earnings forecasts by 5%/11% and lift our TP by ~5% to Rmb45.0 as we increase revenue and GPM estimates. Amid the volatile market, Hongfa remains one of our top picks given its strong earnings visibility and potential upsides from 800V AIDC relays.

1H26 revenue by product – NEV HVDC relay grew by 45% YoY to Rmb3.6bn in 1H26 due to market share gain; home appliance relay also increased by 40% YoY to Rmb2.3bn, helped by ASP hikes which contributed 20pp revenue increase; auto relay grew by 20% YoY to Rmb1.4bn due to ASP hike starting from 2Q26 while power relay was also up 27% YoY due to recovering demand from Europe and China national grid; new energy relay rose by 60% YoY to Rmb1.0bn; and industrial and communication relay increased by 50% and 20% YoY driven by demand recovery. Among new businesses, PDU/BDU was the best performing one with >100% YoY revenue growth in 1H26 (Figure 2).

2H26 outlook – Mgmt. guided a strong demand outlook given 3–6 months order visibility and record high order book. GPM outlook was also quite positive as Hongfa will continue to raise ASP for certain products due to tight supply while silver price has declined by ~20% since 3Q26. (Figure 3) Regarding AIDC, mgmt. indicated that the business opportunity would be bigger than their previous expectation and 800V relay products are likely to be shipped to main customers like Delta Electronics (2308.TW) or Lite-On (2301.TW) in 4Q26 at earliest.

Valuation – Our new TP of Rmb45.0 is based on ~32x 2026E P/E, set at +1.0x SD to reflect Hongfa's faster earnings growth driven by strong demand and ASP hikes.

Earnings Summary

Year to 31 Dec	Net Profit (RmbM)	Diluted EPS (Rmb)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	1,631	1.540	14.9	22.1	3.7	18.3	1.1
2025A	1,758	1.200	-22.1	28.3	4.2	15.9	1.0
2026E	2,155	1.392	16.0	24.4	3.5	15.6	1.3
2027E	2,856	1.846	32.6	18.4	3.1	17.8	1.7
2028E	3,522	2.275	23.3	14.9	2.7	19.0	2.0

Source: Powered by dataCentral

Buy

Short-Term View: Upside, expires 03-AUG-26

Price (29 Jul 26 15:00) Rmb33.980

Target price Rmb45.000↑

from Rmb43.000

Expected share price return 32.4%

Expected dividend yield 1.3%

Expected total return 33.7%

Market Cap Rmb52,587M

US\$7,766M

Price Performance

(RIC: 600885.SS, BB: 600885 CH)


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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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600885.SS: Fiscal year end 31-Dec						Price: Rmb33.980; TP: Rmb45.000; Market Cap: Rmb52,587m; Recomm: Buy					
Profit & Loss (Rmbm)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	14,103	17,202	22,371	27,430	33,104	PE (x)	22.1	28.3	24.4	18.4	14.9
Cost of sales	-8,996	-11,299	-14,793	-18,023	-21,642	PB (x)	3.7	4.2	3.5	3.1	2.7
Gross profit	5,106	5,904	7,579	9,407	11,461	EV/EBITDA (x)	16.8	14.9	13.1	10.2	8.4
Gross Margin (%)	36.2	34.3	33.9	34.3	34.6	FCF yield (%)	3.0	3.6	1.3	3.3	4.7
EBITDA (Adj)	3,262	3,666	4,139	5,319	6,426	Dividend yield (%)	1.1	1.0	1.3	1.7	2.0
EBITDA Margin (Adj) (%)	23.1	21.3	18.5	19.4	19.4	Payout ratio (%)	24	29	31	31	31
Depreciation	-893	-979	-868	-976	-1,089	ROE (%)	18.3	15.9	15.6	17.8	19.0
Amortisation	-125	-140	-138	-138	-139	Cashflow (Rmbm)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	2,243	2,547	3,133	4,205	5,219	EBITDA	3,243	3,638	4,121	5,300	6,426
EBIT Margin (Adj) (%)	15.9	14.8	14.0	15.3	15.8	Working capital	-1,057	-652	-2,089	-1,860	-2,086
Net interest	-70	-84	-86	-84	-80	Other	48	-18	-44	-336	-465
Associates	2	1	2	2	2	Operating cashflow	2,235	2,969	1,988	3,104	3,875
Non-Op/Except/Other Adj	270	224	247	247	247	Capex	-1,158	-1,183	-1,310	-1,368	-1,428
Pre-tax profit	2,445	2,689	3,296	4,369	5,387	Net acq/disposals	-1,004	565	18	19	366
Tax	-282	-350	-429	-568	-701	Other	-49	8	17	21	27
Extraord./Min.Int./Pref.div.	-532	-582	-713	-945	-1,165	Investing cashflow	-2,210	-610	-1,275	-1,327	-1,035
Reported net profit	1,631	1,758	2,155	2,856	3,522	Dividends paid	-695	-867	-537	-658	-1,039
Net Margin (%)	11.6	10.2	9.6	10.4	10.6	Financing cashflow	111	-1,951	-576	-697	-1,169
Core NPAT	1,631	1,758	2,155	2,856	3,522	Net change in cash	122	398	137	1,080	1,671
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	1,077	1,786	678	1,737	2,447
Reported EPS (Rmb)	1.540	1.200	1.392	1.846	2.275						
Core EPS (Rmb)	1.540	1.200	1.392	1.846	2.275						
DPS (Rmb)	0.368	0.347	0.425	0.564	0.695						
CFPS (Rmb)	2.110	2.027	1.285	2.006	2.504						
FCFPS (Rmb)	1.017	1.219	0.438	1.122	1.581						
BVPS (Rmb)	9.115	8.161	9.685	11.105	12.817						
Wtd avg ord shares (m)	1,046	1,465	1,548	1,548	1,548						
Wtd avg diluted shares (m)	1,059	1,465	1,548	1,548	1,548						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	9.1	22.0	30.0	22.6	20.7						
EBIT (Adj) (%)	6.3	13.5	23.0	34.2	24.1						
Core NPAT (%)	17.1	7.8	22.6	32.6	23.3						
Core EPS (%)	14.9	-22.1	16.0	32.6	23.3						
Balance Sheet (Rmbm)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	4,250	4,164	5,028	6,108	7,478						
Accounts receivables	3,271	4,144	5,389	6,608	7,975						
Inventory	3,487	4,278	5,601	6,824	8,195						
Net fixed & other tangibles	6,919	7,566	7,901	8,171	8,357						
Goodwill & intangibles	499	481	464	447	431						
Financial & other assets	2,239	2,731	2,907	3,083	3,259						
Total assets	20,664	23,364	27,290	31,242	35,695						
Accounts payable	1,693	2,261	2,960	3,606	4,330						
Short-term debt	1,840	2,437	2,529	2,625	2,726						
Long-term debt	2,565	169	169	169	169						
Provisions & other liab	2,025	2,487	2,551	2,617	2,431						
Total liabilities	8,122	7,354	8,208	9,017	9,656						
Shareholders' equity	9,504	12,631	14,989	17,187	19,836						
Minority interests	3,038	3,380	4,093	5,038	6,203						
Total equity	12,542	16,010	19,082	22,225	26,038						
Net debt (Adj)	155	-1,558	-2,331	-3,314	-4,583						
Net debt to equity (Adj) (%)	1.2	-9.7	-12.2	-14.9	-17.6						
For definitions of the items in this table, please click here .											

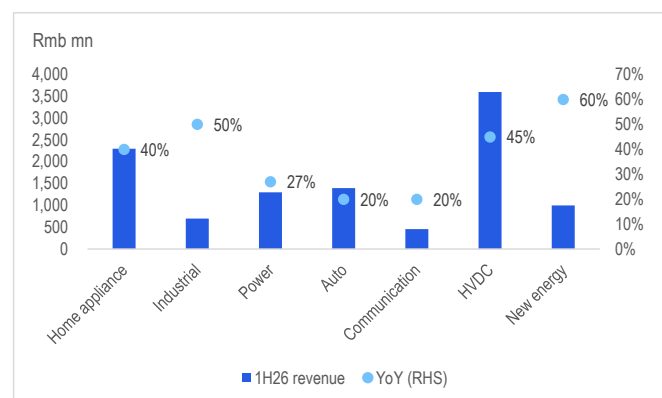
Figure 1. Hongfa: 2Q26/1H26 results snapshot

Rmb mn	2Q25	1Q26	2Q26A	YoY	QoQ	Consensus	Diff.	1H25	1H26A	YoY
P&L										
Net sales	4,364	5,108	5,914	36%	16%	5,674	4%	8,347	11,022	32%
Gross profit	1,513	1,639	1,963	30%	20%	1,754	12%	2,858	3,602	26%
Operating profit	843	737	980	16%	33%	954	3%	1,476	1,717	16%
Net profit	553	484	672	21%	39%	661	2%	964	1,156	20%
EPS	0.38	0.31	0.43	15%	39%	0.43	2%	0.661	0.747	13%
Margin										
GPM	34.7%	32.1%	33.2%	-1.5 pp	1.1 pp	30.9%	2.3 pp	34.2%	32.7%	-1.6 pp
OPM	19.3%	14.4%	16.6%	-2.7 pp	2.1 pp	16.8%	-0.2 pp	17.7%	15.6%	-2.1 pp
NPM	12.7%	9.5%	11.4%	-1.3 pp	1.9 pp	11.7%	-0.3 pp	11.6%	10.5%	-1.1 pp
OCF	1,338	(861)	975	-27%	213%			835	114	-86%

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Source: Citi Research, Company Reports, Bloomberg

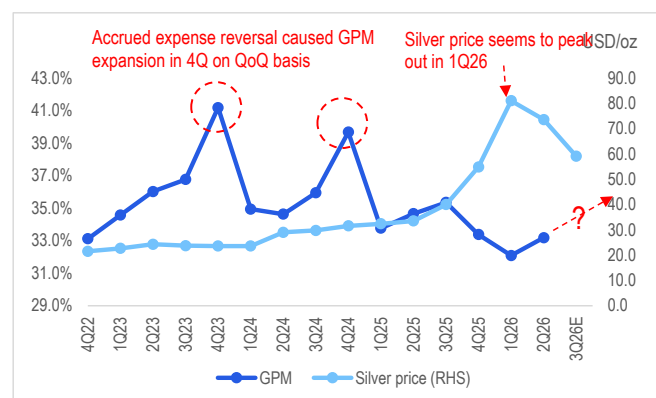
Figure 2. Hongfa: Revenue by product and YoY growth, 1H26



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Source: Citi Research, Company Reports

Figure 3. Hongfa: Quarterly GPM vs. silver price



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Source: Citi Research, Company Reports, WIND

Figure 4. Hongfa: Earnings forecast revisions

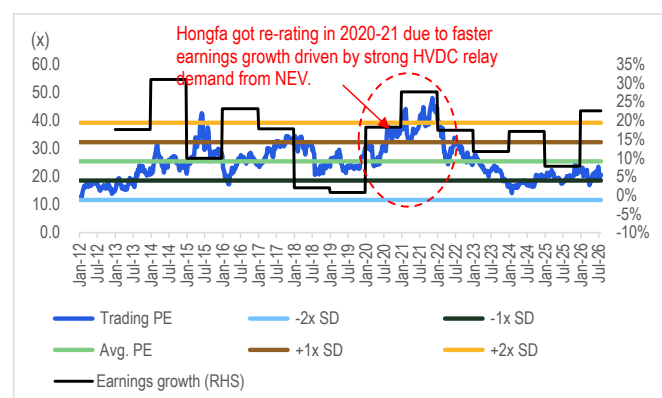
In Rmb mn	Old			New			% Change		
except where indicated	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
P&L									
Revenue	21,273	25,740	30,716	22,371	27,430	33,104	5%	7%	8%
Gross profit	7,083	8,680	10,459	7,579	9,407	11,461	7%	8%	10%
Operating profit	3,156	3,950	4,821	3,302	4,375	5,393	5%	11%	12%
Net profit	2,059	2,578	3,147	2,155	2,856	3,522	5%	11%	12%
EPS (Rmb)	1.33	1.67	2.03	1.39	1.85	2.28	5%	11%	12%
Margin									
GPM	33.3%	33.7%	34.1%	33.9%	34.3%	34.6%	0.6pp	0.6pp	0.6pp
OPM	14.8%	15.3%	15.7%	14.8%	16.0%	16.3%	-0.1pp	0.6pp	0.6pp
NPM	9.7%	10.0%	10.2%	9.6%	10.4%	10.6%	0.0pp	0.4pp	0.4pp

In Rmb mn	Consensus			CitiE			CitiE vs. Consensus		
	26E	27E	27E	26E	27E	27E	26E	27E	27E
P&L									
Revenue	20,866	27,950	29,645	22,371	27,430	33,104	7%	-2%	12%
Gross profit	7,016	9,605	10,249	7,579	9,407	11,461	8%	-2%	12%
Operating profit	3,157	3,851	4,502	3,302	4,375	5,393	5%	14%	20%
Net profit	2,101	2,588	3,056	2,155	2,856	3,522	3%	10%	15%
EPS (Rmb)	1.35	1.68	2.00	1.39	1.85	2.28	3%	10%	14%
Margins									
GPM	33.6%	34.4%	34.6%	33.9%	34.3%	34.6%	0.3pp	-0.1pp	0.1pp
OPM	15.1%	13.8%	15.2%	14.8%	16.0%	16.3%	-0.4pp	2.2pp	1.1pp
NPM	10.1%	9.3%	10.3%	9.6%	10.4%	10.6%	-0.4pp	1.2pp	0.3pp

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Source: Company Reports and Citi Research Estimates, Bloomberg

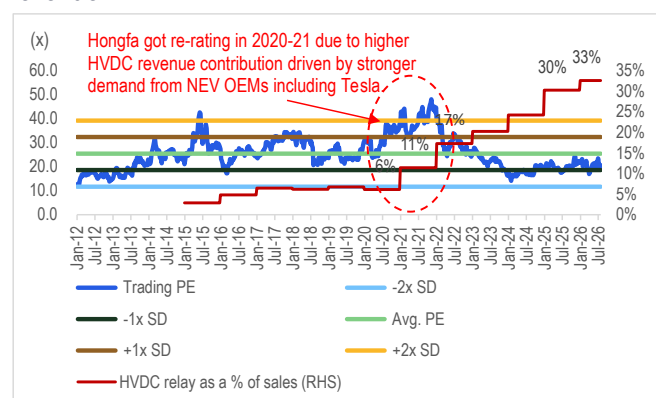
Figure 5. Hongfa: Forward P/E trends vs. earnings growth



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Source: Company Reports and Citi Research Estimates

Figure 6. Hongfa: Forward P/E trends vs. HVDC relay as % of revenue



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Source: Company Reports and Citi Research Estimates

Bull/Bear: Hongfa Technology (600885.SS)

Rmb **54.000**
▲59% Upside

Rmb **45.000**
▲32% Upside

Rmb **31.000**
▼8.8% Downside



Spread 68pp
Current Price and expected returns (upside/downside) as of 29 Jul 2026



BULL Assumptions

- Rerate to ~39x FY26E P/E on better demand growth



BASE Assumptions

- Valuation based on ~32x FY26E EPS



BEAR Assumptions

- Derate to ~22x FY26E P/E on weaker demand growth

Hongfa Technology

Company description

Hongfa Technology Co., Ltd. is a China-based company principally engaged in the research, manufacture, and sale of relays. In addition to the main product of relays, the company provides low-voltage electrical appliances, high- and low-voltage complete sets of equipment, precision spare parts, sensors, capacitors, connectors, vacuum pumps, and automation equipment. The products of the company are applied in industrial, energy, transportation, information, life appliances, healthcare, and national security industries. The company also owns laboratories for relay inspection and analysis. The company distributes its products within domestic market and to overseas markets.

Investment strategy

We have a Buy rating on Hongfa since its 1H26 results beat demonstrates that the strong relay demand and ASP hikes in 1H26 are able to offset GPM pressure due to skyrocketing silver and copper prices. As the order visibility remains strong across the board and GPM could further expand due to silver price drop and ongoing ASP hikes, management holds a positive 2H26 outlook.

Valuation

Our 12-month target price of Rmb45.0 is based on ~32x 2026E P/E, set at +1.0x SD to reflect Hongfa's faster earnings growth driven by strong demand and ASP hikes.

Risks

Key downside risks to our target price include: 1) weaker relay demand especially from NEV and auto sectors; 2) worse-than-expected GPM pressure; and 3) intensifying competition, particularly from home appliance segment.

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Appendix A-1

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IMPORTANT DISCLOSURES

Hongfa Technology (600885.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



Date	Rating	Target Price	Closing Price
1 02-Nov-23 10:35:31	1	*25.71	19.72
2 01-Apr-24 06:20:14	1	*25.00	18.68
3 14-Jun-24 11:56:27	1	*23.86	20.86
4 08-Aug-24 13:47:41	1	*24.29	19.69

*Indicates Change

Date	Rating	Target Price	Closing Price
5 28-Mar-25 14:38:49	1	*30.00	25.68
6 29-Jul-25 12:10:44	1	*30.00	23.61
7 14-Jan-26 05:18:38	*2	*33.00	31.39
8 09-Apr-26 10:50:44	2	*28.00	26.47

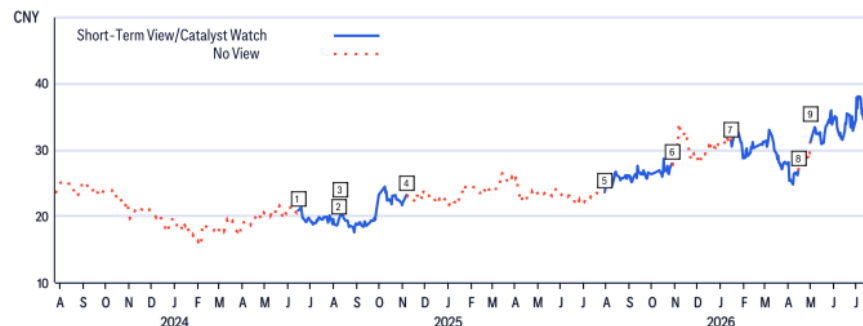
Date	Rating	Target Price	Closing Price
9 04-May-26 08:17:57	*1	*38.00	31.14
10 27-May-26 13:09:01	1	*43.00	35.61

Rating/target price changes above reflect Eastern Time

Hongfa Technology (600885.SS)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



Date	Action	Expected Direction	Duration	Closing Price
1 14-Jun-24 21:57:45	Add CW	Downside	90 Days	20.86
2 08-Aug-24 09:47:41	Remove CW	Downside	90 Days	19.69
3 08-Aug-24 09:47:41	Add STV	Upside	90 Days	19.69

CW - Catalyst Watch, STV - Short-Term View

Date	Action	Expected Direction	Duration	Closing Price
4 06-Nov-24 21:28:12	Remove STV	Upside	90 Days	23.21
5 29-Jul-25 08:10:44	Add STV	Upside	90 Days	23.61
6 27-Oct-25 23:20:09	Remove STV	Upside	90 Days	27.96

Date	Action	Expected Direction	Duration	Closing Price
7 14-Jan-26 00:18:38	Add CW	Downside	90 Days	31.39
8 14-Apr-26 23:05:00	Remove CW	Downside	90 Days	26.90
9 04-May-26 04:17:57	Add STV	Upside	90 Days	31.14

Rating/target price changes above reflect Eastern Time

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Citi Research Equity Ratings Distribution

Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
Citi Research Global Fundamental Coverage (Neutral=Hold)	61%	32%	7%	36%	48%	16%
% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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Risk rating takes into account both price volatility and fundamental criteria. Stocks will either have no risk rating or a High risk rating assigned.

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